

Havells India Ltd

HAVELLS

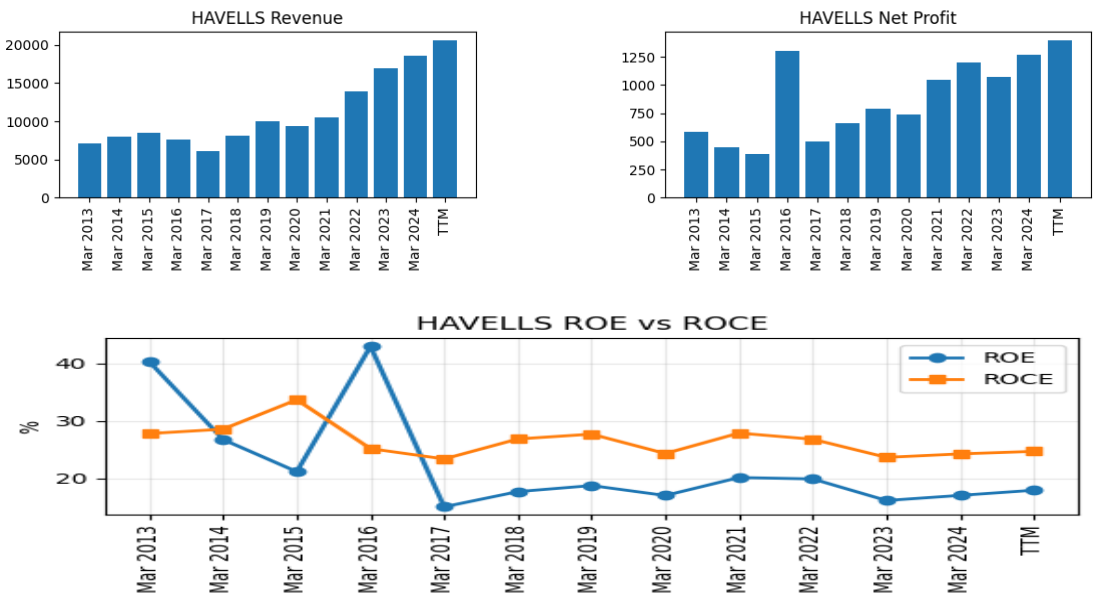
Key Financial Metrics

ROE 17.96%	ROCE 24.71%	Debt / Equity 0.04
Revenue CAGR 9.10%	FCF Conversion 153.66%	Quality Score 38.52

Company Profile

Company	Havells India Ltd
Sector	Industrials
Industry	Consumer Electricals
Market Cap (■ Cr)	2,521,508.87
P/E Ratio	45.41
P/B Ratio	14.08
Dividend Yield	2.60%

Financial Performance



AI Investment Summary

Havells India Ltd currently faces multiple financial challenges that increase investment risk. It currently has healthy profitability, strong capital efficiency, steady revenue growth, high quality cash-flow quality and conservative leverage. The overall financial quality score is 38.5/100. Key strengths include: Return on equity improving for three consecutive years reflects strengthening business quality and capital efficiency.; Very high interest coverage ratio reflects negligible financial stress from debt servicing.. Key risks include: Weak operating margins suggest limited pricing power and lower cash generation.; Debt-to-equity ratio has increased continuously for three years, indicating rising financial leverage.. Investment recommendation: Reduce. Overall, the company appears to be financially weak with elevated investment risk.

Pros & Cons

Pros	Cons
• Return on equity improving for three consecutive years reflects strengthening business quality and capital efficiency. • Very high interest coverage ratio reflects negligible financial stress from debt servicing.	• Weak operating margins suggest limited pricing power and lower cash generation. • Debt-to-equity ratio has increased continuously for three years, indicating rising financial leverage.

Investment Recommendation

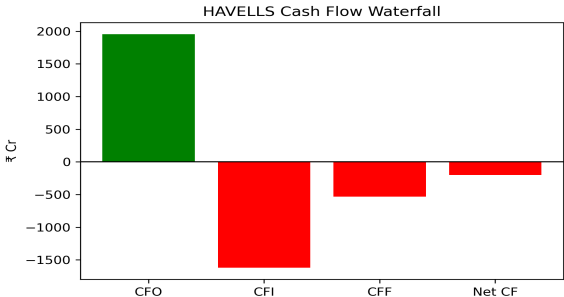
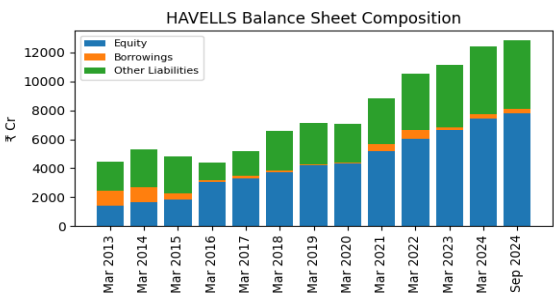
Recommendation	REDUCE
Risk Level	HIGH
Confidence	LOW

Recommendation Reason:

The recommendation is based on an adjusted financial score of 38.5/100, supported by 2 identified strengths, 2 identified risks, and cash-flow quality rated as High Quality.

Adjusted Score: 38.5

Balance Sheet & Cash Flow



Financial Health

Profitability	Moderate
Growth	Moderate
Cash Flow	Strong
Leverage	Strong
Valuation	Expensive

Capital Allocation

Shareholder Returns